

**BEFORE THE
FEDERAL MARITIME COMMISSION**

MSRF Inc.	)	
	)	
<i>Complainant,</i>	)	DOCKET NO. 22-20
	)	
v.	)	
	)	
HMM Company Limited,	)	
<i>Respondent.</i>	)	
	)	

**MOTION TO STRIKE PORTIONS OF MSRF’S REPLY BRIEF OR, IN THE
ALTERNATIVE, FOR LEAVE TO SUPPLEMENT THE RECORD WITH A REPLY**

Pursuant to 46 C.F.R. §§502.69 and 502.216, Respondent HMM Company Limited (“HMM”) hereby moves to strike portions of MSRF’s Reply to HMM’s Opposition Brief (the “MSRF Reply”) or, in the alternate, for leave to supplement the record by filing a reply to the MSRF Reply.

Counsel for Respondents have conferred with counsel for the Complainant regarding Respondents’ Motion for Confidential Treatment, and counsel for Complainant opposes the relief sought herein.

INTRODUCTION

On October 6, 2022, the Presiding Officer served the Scheduling Order in which she providing a briefing schedule and noted that “[d]ispositive motions after discovery are disfavored” due to their inefficiency when compared to briefings. However, this did not prevent MSRF from filing a “Motion for Summary Decision” on April 24, 2023 (the “MSRF Initial Brief”), three days after its brief was due to be filed with the Commission. While the Presiding Officer entered an order directing HMM to treat MSRF’s motion as a brief that same day, the filing itself was so devoid of legal arguments that HMM was left to guess at a proper response in its own brief.

Apparently not content with ignoring the Scheduling Order and Commission Procedure providing that new facts and arguments cannot be made in a reply, the MSRF Reply raises novel claims, facts, and arguments not made in the MSRF Initial Brief and leaves HMM without an opportunity to respond. These arguments should be stricken or, in the alternative, HMM should be afforded an opportunity to supplement the record with a reply.

ARGUMENT

1. MSRF's Reply Has New Arguments That Should Be Stricken

The MSRF Reply contains over four and a half pages of argument alleging that HMM violated the Shipping Act. MSRF's Initial Brief was barely over four pages in total, including the caption. It is patently obvious that MSRF's Reply unfairly raises new factual and legal arguments that should, if the rules are applied, be stricken and ignored by the Court. MSRF could have easily followed the well-known rule: unless a party raises arguments in its opening or initial brief, such arguments are not preserved for argument in reply. In fact, Commission Procedure requires that opening or initial briefs raise arguments "based upon principles of law with appropriate citations of the authorities relied upon." 46 C.F.R. §502.214(c). Furthermore, in her Scheduling Order dated October 6, 2022, the Presiding Officer specifically noted that "[e]ach party shall file a brief meeting the requirements of Commission Rule 214, 46 C.F.R. § 502.214." She also warned against taking the Scheduling Order lightly, stating that a "scheduling order 'is not a frivolous piece of paper, idly entered, which can be cavalierly disregarded by counsel without peril.'" *Johnson v. Mammoth Recreations, Inc.*, 975 F.2d 604, 610 (9th Cir. 1992) (quoting *Gestetner Corp. v. Case Equipment Co.*, 108 F.R.D. 138, 141 (D. Me. 1985)).

In addition, courts recognize the impropriety of raising new substantive issues of law for the first time in a reply brief. *See, e.g., Harrison v. Republic of Sudan*, 838 F.3d 86, 96 (2d Cir.

2016) (argument waived when first raised in reply papers at trial level); *Chevron Corp. v. Donziger*, 325 F. Supp. 3d 371, 379 n.21 (S.D.N.Y. 2018) (same); *Fisher v. Kanas*, 487 F. Supp. 2d 270, 278 (E.D.N.Y. 2007) (same); accord *State Farm Fire & Cas. Co. v. LiMauro*, 103 A.D.2d 514 (N.Y. App. Div. 2d Dep't 1984), aff'd, 65 N.Y.2d 369 (1985) ("It is beyond cavil that raising a new substantive issue of law for the first time in a reply brief is improper.").

As feared by HMM, following its own reply which pointed out the absence of meritorious argument by MSRF, the MSRF Reply raises new and novel arguments in conjunction with facts that were not properly raised in the MSRF Initial Brief under 46 C.F.R. §502.214(c) and the Presiding Officer's Scheduling Order. These arguments should be stricken from MSRF's brief and disregarded by the Court because they violate Commission Procedure and the Scheduling Order. Striking these new arguments is also the right thing to do: MSRF filed a motion instead of the Brief it was required to submit, supported by an illegible and incomprehensible spreadsheet and exhibits, and made no serious argument in support of a claim MSRF revealed to be overstated by a factor of five. Now, HMM is forced to incur the expense of responding to these machinations, spending time and money to deal with the improper Reply. This is patently unfair.

2. If the MSRF Brief Stands, HMM Should Be Permitted to Supplement the Record With a Reply

Should the Court consider the new arguments in the MSRF Brief, HMM should be afforded an opportunity to supplement the record with a reply. Pursuant to 46 C.F.R. § 502.216, Respondent is required to seek the Court's approval for such a filing. Here, the MSRF Initial Brief only argues that HMM failed to perform under the service contract between MSRF and HMM. The Initial Brief is so barren of legal argument that HMM has asked that the Initial Brief be disregarded for failure to comply with the basic requirements of 46 C.F.R. § 502.214. Even a generous reading of the Initial Brief reveals little more than a bare breach of contract claim. The only legal support

MSRF offered for its Shipping Act claims were bald citations to the code without reference to any facts other than the breach of contract claim. MSRF Initial Brief, pp. 2-3.

The MSRF Reply, for the first time, attempts to articulate Shipping Act claims, alleging that HMM's actions were not in accordance with standard shipping practices and that HMM did not enforce just and reasonable regulations. While MSRF's alleged factual bases for the Shipping Act claims are admittedly very weak, the MSRF Reply does at least try to make a colorable legal argument. For example, the MSRF Reply argues that HMM's denial of two requests to book space from Kolkata, India are evidence that HMM violated 46 U.S.C. § 41102(c) because this related to a refusal to store MSRF's cargo. MSRF Reply p.5. Factually, this argument can be easily disposed of because the evidence cited by MSRF shows that this supposed "denial" of a booking under the Service Contract was in fact a request by MSRF to HMM seeking additional space above that in the Service Contract. The fact that this is a request for new service on this lane is made clear by the fact that MSRF was asking to HMM to offer to move 2 to 4 FEUs per month while the Service Contract only obligated HMM to transport a maximum of 2 FEUs per month. In any event, no matter how weak MSRF's new arguments are, HMM should be permitted to supplement the record with a reply to the arguments made by MSRF for the first time in the Reply. If the Court grants this relief, HMM respectfully requests a period of 15 days from the date of the order to prepare and file a reply.

CONCLUSION

For the foregoing reasons, HMM respectfully requests that the arguments raised by MSRF only in the MSRF Reply be stricken for violating Commission Procedure and the Scheduling Order and as a matter of basic fairness. Specifically, the Presiding Officer should strike Sections II and III from the Argument Section in the MSRF Reply because the arguments contained therein were

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 3rd day of June, 2023, a true and correct copy of the foregoing Motion to Strike or, in the Alternative, For Leave to File a Reply was served via electronic mail on:

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/s/
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